Xero Small Business Insights (via ABC News) · CBA
Friday 30 October 2026

# Small business sales slow as banks debate how tight jobs really are

> New data show small businesses are already feeling higher rates and cost-of-living pressure, yet one major bank argues the labour market is still too tight for inflation to settle.

## WHAT HAPPENED

- Xero data show small business **sales growth slowed to 5.2%** a year in the September quarter, down from **7.3%**.
- Small business **wage growth halved**, from 2.3% to **1.2%**.
- **Retail (+2.4%)** and **hospitality (+2.7%)** were weakest, consistent with households cutting discretionary spending.
- CBA estimates the **NAIRU at 4.8%**, above the RBA's **4.6%**. If CBA is right, unemployment would need to rise further before inflation returns to target.

**NAIRU:** the non-accelerating inflation rate of unemployment, the lowest jobless rate consistent with stable inflation. **Discretionary spending:** non-essential purchases households can delay.

## KEY NUMBERS

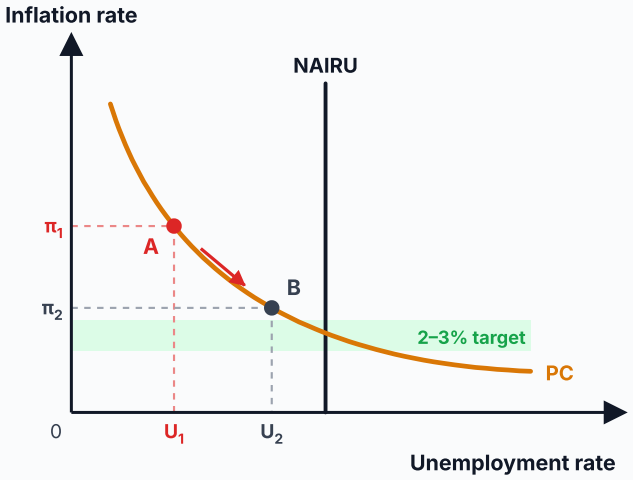
**5.2%**
small business sales growth (from 7.3%)

**1.2%**
small business wage growth (from 2.3%)

**4.8%**
CBA's NAIRU estimate

**4.6%**
RBA's NAIRU estimate

## DIAGRAM — Phillips curve: unemployment below the NAIRU




Conceptual diagram, not to scale

At point **A**, unemployment ($U_1$) is **below the NAIRU**, so firms compete for workers and inflation ($\pi_1$) is above target.

To move towards **B** (lower inflation, $\pi_2$), unemployment must rise towards $U_2$. **A higher NAIRU** (CBA's 4.8%) means the RBA must slow the economy further, so it supports tighter policy.

**Exam angle:** the NAIRU cannot be observed, only estimated. Different estimates explain why economists disagree about how much tightening is needed.

## FLOW CHART — How a slowdown cools inflation

Sales growth slows → Firms hire less; wage growth eases → Unemployment drifts up towards the NAIRU → **Inflation pressure eases**

## SYLLABUS LINK

**Topic 3** – unemployment, the labour market and the NAIRU; economic growth and the business cycle.
**Topic 4** – monetary policy and the labour market.

## TRY THIS

Define the NAIRU and explain why a higher estimate implies tighter monetary policy. **(3 marks)**

Explain why monetary policy may affect small businesses and some sectors more than others. **(4 marks)**

Sources: ABC Markets blog, 29 Oct: abc.net.au/news/2026-10-29/asx-markets-business-live-news-29-october-2026/107321622